India & South Africa: Building Nations, Creating Shared Prosperity

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Foreword

South Africa occupies a distinctive position in the African economy. As the continent's most industrialised and diversified economy, home to roughly 62 million people, a deep financial sector, world-class mining endowments, an advanced automotive industry, the busiest port system in sub-Saharan Africa, and a member of BRICS, the G20 and the African Continental Free Trade Area, the country holds long-term promise across agro and food processing, green energy, logistics, minerals and mining, pharmaceuticals and healthcare, artificial intelligence, information technology, infrastructure and advanced manufacturing.

India and South Africa share a historic bond that began with Mahatma Gandhi's twenty-one years in South Africa and the common struggle against colonialism and apartheid, and today they are partners in BRICS, IBSA, the G20 and the International Solar Alliance. Prime Minister Narendra Modi met President Cyril Ramaphosa on the sidelines of the G20 Leaders' Summit in Johannesburg in November 2025, and President Ramaphosa visited New Delhi for the 18th BRICS Summit in September 2026, where a South Africa–India CEOs Roundtable was held. India and South Africa have identified nine priority verticals for cooperation: agro and food processing, green energy, logistics, minerals and mining, pharmaceuticals and healthcare, artificial intelligence, information technology, infrastructure development and advanced manufacturing

Looking ahead, this paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with South Africa in a manner appropriate to current conditions, whether through sector-specific market intelligence, structured business matchmaking, identification of credible local partners, or institutional dialogue with South Africa's relevant ministries, the Department of Trade, Industry and Competition, InvestSA, the Industrial Development Corporation, provincial investment agencies and business chambers that can be scaled as specific opportunities mature.



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Introduction

South Africa is the most industrialized, diversified and globally integrated economy in Africa, located at the southernmost tip of the continent, with Pretoria as its administrative capital. It is strategically positioned along major global maritime trade routes connecting the Indian and Atlantic Oceans.

India and South Africa share one of the deepest historical relationships among developing nations, rooted in Mahatma Gandhi's legacy and the anti-apartheid movement. The High Commission of India in Pretoria plays a central role in strengthening political ties, trade, investment, cultural exchange and strategic cooperation between the two nations.

Basic Facts & Population

South Africa Is A Democratic Republic And A Member Of The African Union, Brics, G20, Commonwealth, Ibsa And The United Nations. It Has Three Capitals: Pretoria (Administrative), Cape Town (Legislative) And Bloemfontein (Judicial). The Country Has One Of The Most Developed Financial Systems And Infrastructure Networks In Africa And Is Widely Regarded As The Continent's Economic Gateway To The Global Market.South Africa has a population of approximately 60 million people as of 2024. It is highly urbanized, with major population centers including Johannesburg, Cape Town, Durban and Pretoria. The country has a young and diverse population, although unemployment and inequality remain major socio-economic challenges.

GDP (Gross Domestic Product)

South Africa's nominal GDP is estimated at around US$ 380–400 billion, making it the second-largest economy in Africa. It has a well-developed banking sector, strong capital markets and a diversified industrial base. Key growth drivers include mining, manufacturing, finance, tourism and services.



Culture and Heritage

South Africa's culture is highly diverse, with communities such as the Zulu, Xhosa, and Sotho shaping traditions, languages, music, and dance. Its heritage reflects indigenous traditions, colonial history, and the legacy of apartheid, creating a unique and dynamic national identity.

Trade with India (Bilateral Trade – in Billions)

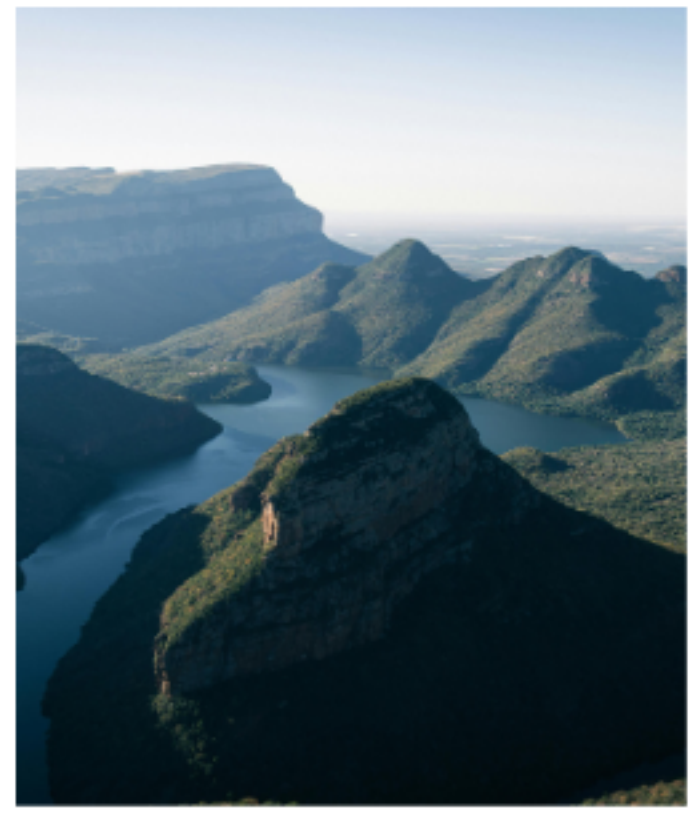
South Africa is India's largest trading partner in Africa. The bilateral trade between India and South Africa stands at approximately US$ 18–20 billion annually. India exports around US$ 7–8 billion worth of goods to South Africa, while imports from South Africa are valued at about US$ 11–12 billion, resulting in a trade surplus in favour of South Africa. The High Commission of India in Pretoria actively facilitates trade promotion and business cooperation between the two nations.

Economy

South Africa has a modern, diversified and industrialized economy supported by strong sectors such as mining, automobiles, steel, chemicals, banking, finance, retail, insurance, energy, tourism and ICT. It is one of the world's leading producers of platinum, gold, chromium, manganese and coal. The automotive and manufacturing sectors contribute significantly to exports. Despite strong fundamentals, the economy faces challenges related to power shortages, fiscal stress, infrastructure gaps and unemployment.

Culture & Economic Ties with India

India and South Africa share exceptionally close cultural and people-to-people relations. South Africa is home to over 1.3 million people of Indian origin, particularly in KwaZulu-Natal, Durban and Johannesburg. The Indian community plays a key role in trade, retail, manufacturing, healthcare, education and ICT sectors. The High Commission of India in Pretoria, along with the Consulate in Durban, actively promotes cultural diplomacy, education cooperation, business networking and skill development through ITEC and ICCR programmes.



Strategic Importance & Key Observations

South Africa is of major strategic importance to India as a BRICS partner, mineral-rich economy and geopolitical leader in Africa. It is a vital source of strategic minerals and an important destination for Indian investments. Indian companies have a strong presence in pharmaceuticals, automobiles, IT, mining, renewable energy, healthcare and infrastructure development. Cooperation also extends to defence, maritime security, climate action and multilateral diplomacy. The High Commission of India in Pretoria serves as the main diplomatic bridge facilitating this multi-dimensional partnership.

Import & Export from India

South Africa exports gold, coal, manganese, chromium ore, precious stones, chemicals and mineral products to India. India, in return, exports refined petroleum products, automobiles and auto components, pharmaceuticals, engineering goods, electrical equipment, chemicals, plastics, textiles and rice to South Africa. Indian pharmaceuticals and vehicles have a strong and growing market presence in South Africa.

1. South Africa: Economic Profile and Business Environment

1.1 Country overview

South Africa is the southernmost country on the African continent, with about 62 million people and a land area of roughly 1.22 million square kilometres, bordered by Namibia, Botswana, Zimbabwe, Mozambique and Eswatini and surrounding the enclave of Lesotho. It is an upper-middle-income country and the most industrialised and diversified economy in Africa, with nominal GDP of roughly US$ 480 billion and GDP per capita of about US$ 7,700. The country is a member of BRICS, the G20, the Southern African Development Community (SADC), the Southern African Customs Union (SACU) and the African Continental Free Trade Area.

South Africa has three capitals: Pretoria (executive), Cape Town (legislative) and Bloemfontein (judicial). Johannesburg and the surrounding Gauteng province form the country's commercial and financial heart, contributing about a third of national output, while Cape Town, Durban and Gqeberha anchor important coastal economies. The population is young and highly urban, English is the main language of business, and the country combines first-world infrastructure and institutions with high inequality and unemployment, which makes job creation the central social objective of national policy.

1.2 Structure of the economy

- **Services:** finance, insurance, real estate, business services, trade, transport, telecommunications and government account for around two-thirds of output, and Johannesburg is Africa's leading financial centre.
- **Mining and minerals:** South Africa holds the world's largest reserves of platinum-group metals, manganese and chromium, major gold, coal, iron-ore and copper resources, and is among the leading exporters of coal.
- **Manufacturing:** automotive assembly and components, food and beverages, chemicals, metals, machinery and plastics, with a well-developed industrial base around Gauteng, KwaZulu-Natal and the Eastern Cape.
- **Agriculture and agro-processing:** citrus, grapes, apples, nuts, wine, maize, sugar, poultry and beef, with South Africa among the world's leading citrus exporters.
- **Energy:** coal-based generation by Eskom, growing private renewable capacity and a national strategy for green hydrogen and the energy transition.
- **Tourism:** wildlife, wine regions, coastlines and cities, with tourism contributing significantly to employment and foreign exchange.

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1.3 Institutions and governance

South Africa is a constitutional democracy with a strong judiciary, an independent central bank and a vibrant civil society. Following the 2024 general election, the country is governed by a Government of National Unity led by President Cyril Ramaphosa, bringing together the African National Congress, the Democratic Alliance and several smaller parties. The coalition has prioritised economic growth, infrastructure investment, reform of electricity, rail and ports, and the fight against crime and corruption.

For investors, South Africa's strengths are its deep capital markets, a sophisticated banking system, reliable legal institutions, a well-developed professional services sector and strong infrastructure in major hubs. Due diligence is required on the effects of transformation policy, including broad-based black economic empowerment, on labour-market rules, on the reliability of municipal services and on security. Companies should plan for compliance with local ownership and employment-equity requirements and engage early with relevant authorities and communities.

1.4 Trade orientation

South Africa is an open economy that trades widely with China, the European Union, the United States, India, the Gulf and its African neighbours. As a member of SACU with Botswana, Namibia, Lesotho and Eswatini, it applies a common external tariff, and it has trade arrangements with the European Union and the United Kingdom through the SADC Economic Partnership Agreements, with the African Continental Free Trade Area and with other partners. India ranks among South Africa's leading trading partners, and BRICS partners account for more than a fifth of South Africa's global trade.

Trade policy is currently shaped by changing United States tariff measures and the uncertain status of preferential access under the African Growth and Opportunity Act, by South Africa's efforts to diversify export markets, and by industrial policy that supports local manufacturing, including considering higher duties on imported vehicles. Indian exporters in sensitive sectors, particularly automobiles, should therefore monitor tariff developments closely.

1.5 Key indicators

Indicator	Value	Comment
Population	About 62 million	Young and highly urban
GDP (current prices)	About US$ 480 billion (2026)	Largest industrial economy in Africa
GDP per capita	About US$ 7,700	Upper-middle-income

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